led by Dhirendra Swarup, one on public debt management led by Jahangir Aziz, one on international finance led by Percy Mistry, and one on domestic finance led by Raghuram Rajan. [10] These five reports worked out a broadly coherent vision for the next stage of the reforms. The changes that were called for required large-scale changes in the laws that created agencies and controlled government intervention in finance.

These ideas were brought together by the Financial Sector Legislative Reforms Commission (FSLRC), which worked from 2011 to 2015. FSLRC drafted a single law, the Indian Financial Code which replaces sixty-one existing laws. [11] A few elements of this work have been translated into implementation, such as inflation targeting, but most have not. The Indian Financial Code, version 1.1, is the pending agenda for financial reforms.

In this period, the policy pipeline was fully working, from data to research to creative policy proposals, to government committee reports to the drafting of law and the construction of state capacity to enforce new laws. These successes were grounded in a financial reforms community. A coherent set of persons played various roles through this period, and brought a consistent intellectual framework into all this work. The reforms process was led by the Ministry of Finance, SEBI and NSE. A large number of individuals across government, academics and financial firms participated in the work. As an example, 146 individuals were involved in FSLRC in various capacities. [12] For the next phase of the financial reforms, a comparable community will need to be recreated.

Summing up

Financial economic policy is about the working of financial intermediaries, financial markets, money creation and government borrowing.

Market failure in the form of externalities and asymmetric information is present in the working of financial markets, and in the engagement of unsophisticated households with financial intermediaries. Government intervention is required to address this. At the same time, ‘consumer